



Post

American Per Capita Defense Spending: Essentially Flat for Three Generations

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With a new Administration coming to office; growing international security threats from that deepening partnership between China, Russia, Iran, and North Korea; and memories of the Biden Administration's calamitous exit from Afghanistan still raw, Washington is about to commence one of its periodic reviews of national defense capabilities and requirements. This one may prove especially consequential, given that the world may now be entering—or already enmeshed in—what some describe as a Second Cold War.

How much defense spending does the US need to keep our country safe, today and tomorrow? Defense specialists around the nation (AEI has a formidable team of them) are bearing down to assess that question.

We wanted to leaven that debate with some usually-missing historical perspective—framing today's discussions with trends for US national security spending for the entire

postwar era. So we went back to take a look at these basic numbers.

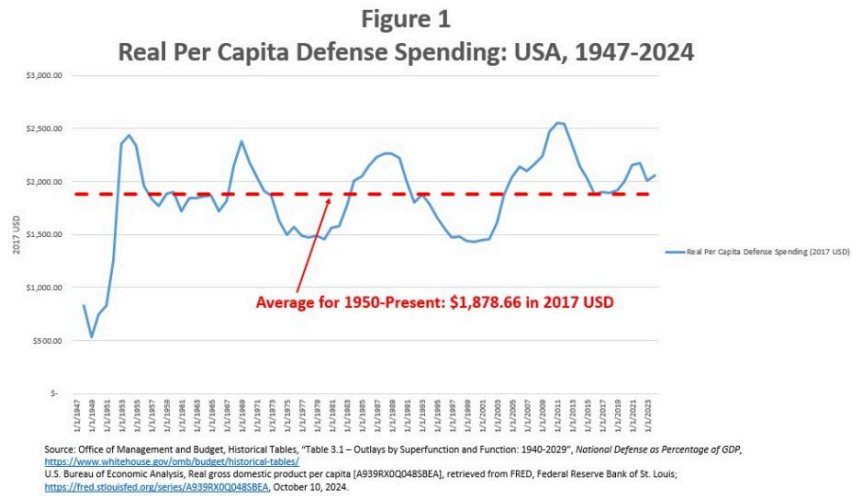
We were quite frankly surprised by what we found.

Simply put: After adjusting for inflation, America's per capita spending on national defense has remained stubbornly—almost amazingly—constant over the past three postwar generations.

The world has changed radically over those three generations—but real per capita US national security expenditures most decidedly have not. There is a striking, almost uncanny, sameness in America's annual US per capita military expenditures from one decade to the next.

Per capita postwar military spending does not *quite* flat-line. There have been cyclical upward blips and downward dips since the early 1950s. But for all intents and purposes, long-term postwar defense spending has been basically flat for almost three quarters of a century.

The astonishing invariance of American per capita defense allocations from one decade to the next can be seen in Figure 1. We drew this information from the most recent Office of Management and Budget (OMB) update of historical statistics on US government outlays, and the most recent Bureau of Economic Analysis (BEA) series on real postwar GDP per capita.



As we see, America's per capita defense spending over the postwar era has been basically stable since the early 1950s, oscillating up and down in almost regular "waves" around an almost fixed mean.

Defense spending has exceeded the long-term mean in four of these waves: during and just after the Korean War; during the Vietnam War; during the Reagan-Bush push that saw the Cold War to its end; and during the Dubya-Obama "Surge" in Iraq. Conversely, the four postwar "troughs" in spending demarcated the relative lull between the Korean War and the Vietnam War; the Carter "malaise" years; Clinton's spend-down of the "peace dividend;" and Trump's first tour of duty. But these are not big variations—spending never fell more than 20 percent below the long-term mean, or rose more than about 35 percent above it—and after each one of these gyrations spending reverted more or less to the mean.

In 2017 dollars—the denominator in which the official figures were calculated—annual per capita national defense spending averaged less than \$2000 per year. In those prices, Americans were devoting an average of just over \$5 a day to national defense, from 1950 through 2024.

Of course, everything has gotten more expensive since 2017. But even nowadays, in 2024 prices, the average daily price for national defense from 1950 through 2024 would have

amounted to about six and a half dollars for every man, woman and child in America. “Bidenflation” notwithstanding, the defense of our country over the entire postwar era has not cost much more than a McDonalds Happy Meal per day on a per capita basis.

Counter-intuitive as this may be, there is no obvious trend over time in Figure 1. If we torture the data, we can make them confess to a tiny long term increase in per capita defense spending—you can eke as much as an extra Big Mac Meal per annum per capita out of this long-term trend if you choose the postwar starting point selectively. But you can also make the case that per capita defense spending has actually trended slightly *downward* over the postwar era. [AEI’s Elaine McCusker has shown](#) that our contemporary defense budgets are now larded with \$100 billion or more in non-military spending—subtracting that would lower current per capita “defense” expenditures by about \$300 a year.

To go by Figure 1, the main driver—in fact, the only driver—of increases in overall US defense spending for three generations looks to have been population growth: the larger number of Americans to defend, we might say.

America’s inflation adjusted per capita GDP [was nearly four times higher](#) in 2024:Q2 than 1950:Q2. Per capita private net worth has likely soared even more. Why, then, should increasing national defense expenditures seem so “unaffordable” today?

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